

Module 4

Business Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The internal environments of Giosinni are listed below:

- **Shareholders**
The shareholders of Giosinni voice out the comments and delegate the right to the board of directors or management to change the company's policy through which they can impact Giosinni.
- **Board of directors / Management**
It is very important that the board of directors ensure all employees of Giosinni are motivated to do their very best and the physical work environment is comfortable, pleasant, and provides the resources that employees need to do their jobs well.
- **Employees**
Employees of Giosinni have to work together and serve customers every day willingly.
- **Work environment**
The work environment should be pleasant and employees should have fun working together at Giosinni, particularly when they need to cooperate to serve customers.
- **Corporate culture**
Giosinni should try to emphasise the importance of providing good customer service by not only talking about it, but by acting on it.

Answer 1(b)

Customer satisfaction is a measure of how an organisation's total product performs in relation to a set of customer expectations.

Customer loyalty is a customer's commitment to repurchase over an extended period of time.

It is generally believed that if the service of Giosinni improves, then there will be increased customer satisfaction and loyalty, and ultimately the profit of Giosinni will follow.

Answer 2

Five other factors that the Chief Financial Officer should consider when making debt financing decisions are:

- **Macroeconomic conditions**
These include market conditions and expectations faced by HHP concerning economic factors, such as interest rates, tax rates, and inflation/ deflation rates. When these rates increase, the cost of capital of HHP will also increase.
- **Past performance of HHP**
This reflects management's operating and financial decisions and the risk associated with those decisions. The greater the inferred risk inherent in past performance, the higher the risk premium required, resulting in an increase in the cost of capital of HHP.
- **Amount of financing**
The larger the absolute amount of financing sought by HHP, the higher the cost of capital faced by HHP.
- **Relative level of debt financing**
At some level of debt financing, increasing financing sought by HHP through debt will increase the cost of marginal debt and result in an increase in the cost of capital of HHP.
- **Debt maturity**
The longer the maturity of debt, the higher the cost of capital of HHP. The longer the debt, the greater the risk of interest rate changes. Thus, lenders charge a maturity premium for that risk.
- **Debt security**
The greater the value of collateral relative to the amount of debt, the lower the interest rate or cost of capital faced by HHP.

Answer 3(a)

The dilemma faced by AYCC is known as a pick two relationship.

This is because no business can successfully or consistently provide the best service and the highest quality at the lowest price. Thus, there is always a trade-off.

Answer 3(b)

The importance of implementing control systems in AYCC is listed below:

- **Accountability**
Control systems in AYCC are important for accountability. They are used to ensure compliance with the top management's prescribed policies and procedures in preparing the food packs so that the goals of AYCC can be met. Some measures adopted by AYCC can include delivery time and error rates, among others.
- **Corporate and individual protection**
Control systems in AYCC are crucial to safeguarding the firm's assets, promoting the efficiency of the firm's operations, and protecting individual employees.
- **For internal stakeholders**
With the increasing demand for business transparency, internal stakeholders of AYCC, including the owners and employees, are paying close attention to AYCC's performance and actions. Thus, control systems in AYCC can ensure the accuracy and reliability of accounting records and information.
- **For external stakeholders**
Similarly, external stakeholders of AYCC, including the customers, creditors, potential investors, and the government, have much interest in the internal operation and logistics process of the company. Thus, control systems in AYCC can provide higher confidence to external stakeholders when they need to make decisions regarding investing in their company or buying their products.
- **For the general public**
Control systems can also communicate to the general public the fundamental mission and vision of AYCC. This can avoid criticism from the general public by using control systems to ensure compliance with relevant external laws and regulations.

Answer 4

The five steps of the breakthrough strategy under Six Sigma of EF are listed below:

- **Define:** This is to know who the customers are, what they want, and how the company's products and services fall short. This step can help to define a clear direction for improvement.

EF should understand who their target customers are, their needs, and their complaints. In this situation, their target customers are the restaurants and the families who would like to have quality seafood. But the recent seafood provided was not of good quality.

- **Measure:** Complaints data are collected to measure current performance against desired performance. Characteristics that are critical to quality, product, and process capabilities and risks are identified in this step.

EF has received complaints that their seafood products are not of sufficient quality.

- **Analyse:** The causes of defects are identified through analysis of the complaints data.

EF should use the collected data and conduct an analysis.

- **Improve:** Solutions to the problems are developed through brainstorming sessions amongst the members in the organisation. Changes to the process are made and the results are evaluated to see if the problems have been solved. If not, the process is repeated until they are.

EF should discuss with the members in the organisation and brainstorm some solutions to solve the problems identified. Some possible solutions may be changing the suppliers or strengthening the inventory and delivery process.

- **Control:** If the desired level of performance is achieved, processes are monitored to ensure that no unexpected nor undesirable changes occur, thereby maintaining the level of performance.

EF should keep monitoring and strengthening the whole production process to ensure their quality seafood received, stored, and delivered to customers is of good quality in order to prevent the same problems from occurring again.

Answer 5(a)

The potential marketing channels PetPet can adopt include:

- The new start-up company can adopt digital and social media, such as Facebook and Instagram, to promote their pet products.
- These channels can help the company reach out to customers locally and globally.

Answer 5(b)

Pricing strategies are listed below:

- **Penetration pricing**
To set a low launch price to maximise sales volume and increase the market share of a new product. The low price encourages consumers to at least try the product.
- **Cost-based pricing**
The company adds a percentage or dollar amount to the cost of the product. The amount added is the company's profit.
- **Price skimming**
To charge the highest price that customers who most desire the product are willing to pay. The price is lowered over time to attract more customers, again at the highest prices that these buyers are willing to pay.
- **Product line pricing**
Pricing is coordinated across an entire product line to ensure consistency in the messaging and the approach to market development.
- **Bundle pricing**
Companies may offer a single package price for customers that buy multiple units or specific types of units lower than buying products individually.
- **Premium pricing**
Companies charge more for products and services to set them aside in the market and create the perception of higher quality.
- **Value-based pricing**
Companies separate their products and services using specific pricing approaches that give customers the perception of value.
- This new start-up company can adopt penetration pricing.
- As the owners would like to attract more customers and have them try the new products first.

Answer 5(c)

Challenges PetPet will encounter:

- One of the biggest challenges for PetPet is to choose the right language and phrasing when marketing products. Different countries may use different languages, and thus PetPet should at least provide English and Chinese websites. To attract other customers, other languages may be provided as well.
- Another challenge that PetPet may encounter is with considering the differences in regulations, laws, and customs. There will be different rules and regulations in different countries to regulate the operation of a business. Thus, PetPet should be well-aware of the rules and regulations of the host countries.
- Moreover, PetPet has to be sensitive to cultural differences while remaining true to their own ethos and vision. Different countries have their own cultural norms which may affect marketing efforts, such as, with the use of focus groups and teams versus individuals. Thus, PetPet should understand how to communicate with consumers in the host countries effectively by understanding their cultural values.
- E-commerce also increases competition for PetPet. PetPet is not only competing with local competitors, but also with small and giant global competitors, as E-commerce breaks the boundaries between countries.

Answer 6(a)

As the Human Resource Director of Ho Lok, you should consider:

- Establishing performance measures for a consistent and objective basis for assessment.

Since Ho Lok is a trading company, related performance measures can be quantitative or qualitative. Quantitative measures may include sales turnover, and qualitative measures may include client satisfaction.

- Identify competencies required and define the desired behaviours for success.

Ho Lok should identify some important competencies and behaviours which are required to achieve success, such as customer-oriented attitudes and efficient response, among others. This can help to measure not only the results but also how the results are achieved.

- Communicate to all employees the system and provide training to managers to equip them for an effective appraisal discussion.

In addition to setting the performance measures and identifying the desired competencies and behaviours, Ho Lok should also provide two-way communication to employees about the appraisal systems and provide sufficient training to managers and supervisors for evaluating and discussing the performance of employees.

- Identify the development needs of employees.

Ho Lok should provide correspondent training to employees to develop their skills and knowledge, especially with employees that have been rated weak in some areas. Thus, the appraisal process should also include a staff training and development plan.

- Link performance results to rewards.

To make a performance appraisal effective, Ho Lok should link the reward decision to the appraisal result. For example, the higher the appraisal rating, the higher the amount of discretionary bonus.

Answer 6(b)

There are five levels in Maslow's hierarchy of needs:

- **Physiological needs**
These are basic items that we all need to ensure our survival. In Ho Lok's situation, this can translate to the need for a fair salary.
- **Safety needs**
Once physiological needs are satisfied, employees need an environment that is safe, both physically and mentally. Here, Ho Lok should provide a safe working environment and job security to employees.
- **Affiliation/belongingness needs**
These needs reflect the employees' desire to be accepted by others and to find their place within certain working groups. Thus, Ho Lok should foster good working relationships between employees, managers, and peers in order to create a pleasant working environment.
- **Esteem needs**
This is the need to be respected and appreciated by others. Ho Lok should recognise its employees, and reward and credit them for their hard work.
- **Self-actualisation needs**
This means that employees have an innate need for personal growth and self-development. Ho Lok can aid this process by providing further training and assigning challenging goals to employees.

Answer 6(c)

Identification of the levels fulfilled in Maslow's hierarchy of needs:

- It is assumed that most of the employees are satisfied with the physiological, safety, and affiliation needs.

With regard to the appraisal results, Ho Lok should focus on the following two needs:

- Esteem needs
- When employees have high ratings in their appraisals, Ho Lok can, for example, promote the employees, provide higher bonuses, and publicise the names of these excellent employees. This can satisfy the esteem needs of employees.
- Self-actualisation needs
- Managers should have appraisal discussions with employees during the appraisal process, where managers can, for example, set challenging goals for the employees and provide employees with necessary training to improve their weaknesses and skill-sets. This can satisfy the self-actualisation needs.

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